

Hotel Booking Demand

Cancellation problem Project

ISSUE / PROBLEM

A large portion of bookings are cancelled, leading to significant revenue loss.

Average cancellation rate: 28%
Revenue loss: 2.8 million

- City hotel: 30% | 1.9 million
- Resort hotel: 24% | 0.9 million

MECHANISM

Unsecured long lead-time bookings function as “free options” for online TA customers.

- **No deposit** → **zero cancellation cost**
- **Long lead time** → **high uncertainty**

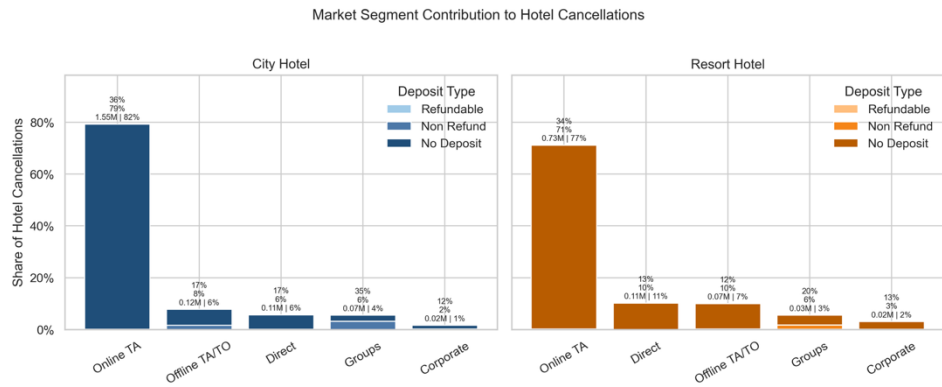
IMPACT

Revenue loss is structurally concentrated in high-value, long lead-time bookings.

Lead time >30 days no deposit bookings:

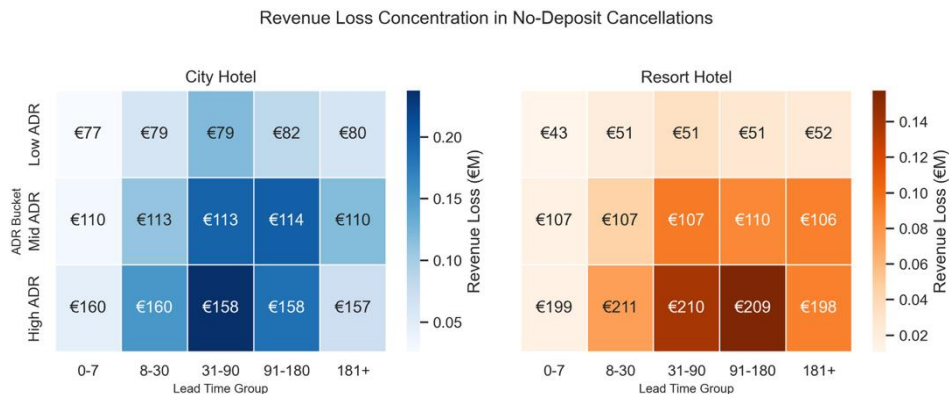
- City hotel revenue loss 1.3 million ~73%
- Resort hotel revenue loss 0.7 million ~ 80%

Estimated impact: addressing these bookings could reduce cancellation losses by ~20–40%, equivalent to €0.1M–€0.2M recovery (conservative estimate).



Bar plot above shows the most revenue leakage **concentrated in ‘Online TA (~80%)’** with **‘No deposit (~96%)’**.

Notations : **cancellation rate, cancellation share, revenue loss, revenue loss share**



Heatmap above shows among the **no deposit cancellation bookings**, the most revenue leakage concentrated in **“long lead time” groups (>30 days) with high ‘ADR’**.

INSIGHTS/NEXT STEPS

Key insight

- The issue is not demand, but the lack of commitment in early bookings.

Next Step

Top Priority Focus on OTA bookings with lead time > 30 days (largest revenue leakage segment)

- **Lead-time-based deposit policy**, 8~30 days conditional refundable, 31+ days needs deposit or non-refundable options.
- **Rate structure redesign**, more discount means ‘non- refundable’, less discount means more flexible choice.
- **Channel – specific optimization**, focus on OTA(online and offline) channel, with direct channel could be flexible to keep loyalty.

OTA is not risky per se, but becomes high-risk when combined with no-deposit policies and long lead-time bookings.